

What the FM DID NOT DO

1 Reforms

Project a big picture for economic reforms

2 Disinvestment

Name at least five PSUs where disinvestment process would start in four months' time

3 Deficit

Address concerns on the country's sovereign rating arising out of a 6.8 per cent deficit

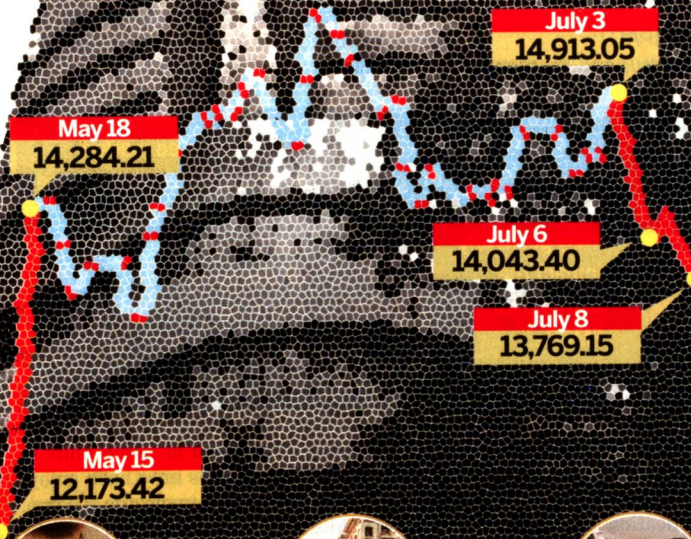
4 Timelines

Identify 10 infrastructure projects with timelines for project clearance

5 Monitoring

Steps that would monitor the impact of outlays to rural sector and reduce leakages

GRAPHIC BY PRASHANT CHAUDHARY



POWER, TELECOM, INFRASTRUCTURE ANNOUNCEMENT: Minimum Alternative Tax (MAT) increased from 10% to 15%.

IMPACT
Negative for companies which have been enjoying tax holiday on Capex undertaken by them under Sec 80 IA.



REAL ESTATE ANNOUNCEMENT: Sec 10A extended—(STPI benefits) and higher allocation of Rs 3,470 crore for Commonwealth Games.

IMPACT
IT Park developers to benefit. Increased allocation for games will help developers like Unitech and DLF.



IT SERVICES / PHARMA ANNOUNCEMENT: Section 10A/10B benefit extended by one year to FY2011. Abolished FBT and extended 150% weighted deduction on R&D.

IMPACT
Estimated earnings to rise by 5-8% for the IT sector and 2-3% for pharma.



EDUCATION ANNOUNCEMENT: Plan for higher education increased by Rs 2,000 crore. Information, communication and technology allocation increased by Rs 900 crore.

IMPACT
Positive for Educomp and also Everonn.